

Company registration number: [REDACTED]

[REDACTED] Ltd

Trading as [REDACTED] Ltd

Unaudited financial statements

31 December 2020

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[REDACTED] Ltd

Directors and other information

Director **[REDACTED]**

Company number **[REDACTED]**

Business address **[REDACTED]**
 [REDACTED]
 [REDACTED]

Accountants **[REDACTED]**
 [REDACTED]
 [REDACTED]
 [REDACTED]

Bankers **[REDACTED]**
 [REDACTED]

██████████ Ltd

**Director's report
Year ended 31 December 2020**

The director presents this report and the unaudited financial statements of the company for the year ended 31 December 2020.

Director

The director who served the company during the year was as follows:

██████████

Small company provisions

This report has been prepared in accordance with the provisions applicable to companies entitled to the small companies exemption.

This report was approved by the board of directors on 30 July 2021 and signed on behalf of the board by:

██████████

Director

██████████ Ltd
Statement of income and retained earnings
Year ended 31 December 2020

	Note	2020 £	2019 £
Turnover		3,357,102	2,890,290
Cost of sales		(2,017,452)	(1,849,200)
Gross profit		<u>1,339,650</u>	<u>1,041,090</u>
Administrative expenses		(1,086,081)	(808,153)
Other operating income		69,129	-
Operating profit		<u>322,698</u>	<u>232,937</u>
Interest payable and similar expenses		(3,960)	(894)
Profit before taxation	5	<u>318,738</u>	<u>232,043</u>
Tax on profit		-	-
Profit for the financial year and total comprehensive income		<u>318,738</u>	<u>232,043</u>
Dividends declared and paid or payable during the year		(20,000)	(30,000)
Retained earnings at the start of the year		<u>683,599</u>	<u>481,556</u>
Retained earnings at the end of the year		<u>982,337</u>	<u>683,599</u>

All the activities of the company are from continuing operations.

The notes on pages 6 to 10 form part of these financial statements.

**Statement of financial position
31 December 2020**

		2020		2019	
	Note	£	£	£	£
Fixed assets					
Tangible assets	6	705,570		340,845	
		<u> </u>		<u> </u>	
			705,570		340,845
Current assets					
Stocks		40,200		35,500	
Debtors	7	192,056		250,663	
Cash at bank and in hand		471,999		214,523	
		<u> </u>		<u> </u>	
			704,255		500,686
Creditors: amounts falling due within one year					
	8	(261,161)		(133,944)	
		<u> </u>		<u> </u>	
Net current assets			443,094		366,742
			<u> </u>		<u> </u>
Total assets less current liabilities			1,148,664		707,587
Creditors: amounts falling due after more than one year					
	9	(166,323)		(2,821)	
		<u> </u>		<u> </u>	
Net assets			982,341		704,766
			<u> </u>		<u> </u>
Capital and reserves					
Called up share capital			4		4
Profit and loss account			982,337		683,599
			<u> </u>		<u> </u>

The notes on pages 6 to 10 form part of these financial statements.

██████████ Ltd

**Statement of financial position
31 December 2020**

Shareholders funds	982,341	683,603

For the year ending 31 December 2020 the company was entitled to exemption from audit under section 477 of the Companies Act 2006 relating to small companies.

Director's responsibilities:

- The members have not required the company to obtain an audit of its financial statements for the year in question in accordance with section 476;
- The director acknowledges their responsibilities for complying with the requirements of the Act with respect to accounting records and the preparation of financial statements.

The notes on pages 6 to 10 form part of these financial statements.

██████████ Ltd

Statement of financial position (continued)
31 December 2020

These financial statements have been prepared in accordance with the provisions applicable to companies subject to the small companies' regime and in accordance with FRS 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'.

These financial statements were approved by the board of directors and authorised for issue on 30 July 2021, and are signed on behalf of the board by:

██████████

Director

The notes on pages 6 to 10 form part of these financial statements.

1. General information

The company is a private company limited by shares, registered in . The address of the registered office is .

2. Statement of compliance

These financial statements have been prepared in compliance with the provisions of FRS 102, Section 1A, 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'.

3. Accounting policies

Basis of preparation

The financial statements have been prepared on the historical cost basis, as modified by the revaluation of certain financial assets and liabilities and investment properties measured at fair value through profit or loss.

The financial statements are prepared in sterling, which is the functional currency of the entity.

Turnover

Turnover is measured at the fair value of the consideration received or receivable for goods supplied and services rendered, net of discounts and Value Added Tax.

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership have transferred to the buyer, usually on despatch of the goods; the amount of revenue can be measured reliably; it is probable that the associated economic benefits will flow to the entity and the costs incurred or to be incurred in respect of the transactions can be measured reliably.

Taxation

The taxation expense represents the aggregate amount of current and deferred tax recognised in the reporting period. Tax is recognised in the statement of comprehensive income, except to the extent that it relates to items recognised in other comprehensive income or directly in capital and reserves. In this case, tax is recognised in other comprehensive income or directly in capital and reserves, respectively.

Current tax is recognised on taxable profit for the current and past periods. Current tax is measured at the amounts of tax expected to pay or recover using the tax rates and laws that have been enacted or substantively enacted at the reporting date.

**Notes to the financial statements
Year ended 31 December 2020**

Deferred tax is recognised in respect of all timing differences at the reporting date. Unrelieved tax losses and other deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Deferred tax is measured using the tax rates and laws that have been enacted or substantively enacted by the reporting date that are expected to apply to the reversal of the timing difference.

██████████ Ltd
Notes to the financial statements (continued)
Year ended 31 December 2020

Tangible assets

Tangible assets are initially recorded at cost, and are subsequently stated at cost less any accumulated depreciation and impairment losses.

Any tangible assets carried at revalued amounts are recorded at the fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

An increase in the carrying amount of an asset as a result of a revaluation, is recognised in other comprehensive income and accumulated in capital and reserves, except to the extent it reverses a revaluation decrease of the same asset previously recognised in profit or loss. A decrease in the carrying amount of an asset as a result of revaluation is recognised in other comprehensive income to the extent of any previously recognised revaluation increase accumulated in capital and reserves in respect of that asset. Where a revaluation decrease exceeds the accumulated revaluation gains accumulated in capital and reserves in respect of that asset, the excess shall be recognised in profit or loss.

Depreciation

Depreciation is calculated so as to write off the cost or valuation of an asset, less its residual value, over the useful economic life of that asset as follows:

If there is an indication that there has been a significant change in depreciation rate, useful life or residual value of tangible assets, the depreciation is revised prospectively to reflect the new estimates.

Impairment

A review for indicators of impairment is carried out at each reporting date, with the recoverable amount being estimated where such indicators exist. Where the carrying value exceeds the recoverable amount, the asset is impaired accordingly. Prior impairments are also reviewed for possible reversal at each reporting date.

When it is not possible to estimate the recoverable amount of an individual asset, an estimate is made of the recoverable amount of the cash-generating unit to which the asset belongs. The cash-generating unit is the smallest identifiable group of assets that includes the asset and generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

Stocks

Stocks are measured at the lower of cost and estimated selling price less costs to complete and sell. Cost includes all costs of purchase, costs of conversion and other costs incurred in bringing the stocks to their present location and condition.

Notes to the financial statements (continued)
Year ended 31 December 2020

Government grants

Government grants are recognised at the fair value of the asset received or receivable. Grants are not recognised until there is reasonable assurance that the company will comply with the conditions attaching to them and the grants will be received.

Government grants are recognised using the accrual model and the performance model.

Under the accrual model, government grants relating to revenue are recognised on a systematic basis over the periods in which the company recognises the related costs for which the grant is intended to compensate. Grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the entity with no future related costs are recognised in income in the period in which it becomes receivable.

Grants relating to assets are recognised in income on a systematic basis over the expected useful life of the asset. Where part of a grant relating to an asset is deferred, it is recognised as deferred income and not deducted from the carrying amount of the asset.

Under the performance model, where the grant does not impose specified future performance-related conditions on the recipient, it is recognised in income when the grant proceeds are received or receivable. Where the grant does impose specified future performance-related conditions on the recipient, it is recognised in income only when the performance-related conditions have been met. Where grants received are prior to satisfying the revenue recognition criteria, they are recognised as a liability.

Financial instruments

A financial asset or a financial liability is recognised only when the company becomes a party to the contractual provisions of the instrument.

Basic financial instruments are initially recognised at the transaction price, unless the arrangement constitutes a financing transaction, where it is recognised at the present value of the future payments discounted at a market rate of interest for a similar debt instrument.

Debt instruments are subsequently measured at amortised cost.

Where investments in non-convertible preference shares and non-puttable ordinary shares or preference shares are publicly traded or their fair value can otherwise be measured reliably, the investment is subsequently measured at fair value with changes in fair value recognised in profit or loss. All other such investments are subsequently measured at cost less impairment.

Other financial instruments, including derivatives, are initially recognised at fair value, unless payment for an asset is deferred beyond normal business terms or financed at a rate of interest that is not a market rate, in which case the asset is measured at the present value of the future payments discounted at a market rate of interest for a similar debt instrument.

Other financial instruments are subsequently measured at fair value, with any changes recognised in profit or loss, with the exception of hedging instruments in a designated hedging relationship.

Financial assets that are measured at cost or amortised cost are reviewed for objective evidence of impairment at the end of each reporting date. If there is objective evidence of impairment, an impairment loss is recognised in profit or loss immediately.

Notes to the financial statements (continued)
Year ended 31 December 2020

For all equity instruments regardless of significance, and other financial assets that are individually significant, these are assessed individually for impairment. Other financial assets are either assessed individually or grouped on the basis of similar credit risk characteristics.

Any reversals of impairment are recognised in profit or loss immediately, to the extent that the reversal does not result in a carrying amount of the financial asset that exceeds what the carrying amount would have been had the impairment not previously been recognised.

██████████ Ltd
Notes to the financial statements (continued)
Year ended 31 December 2020

4. Employee numbers

The average number of persons employed by the company during the year amounted to 18 (2019: 17).

5. Profit before taxation

Profit before taxation is stated after charging/(crediting):

	2020	2019
	£	£
Depreciation of tangible assets	250,716	127,629
	<u> </u>	<u> </u>

6. Tangible assets

	leasehold Machinery	Plant & Fittings	Fixtures & Vehicles	Motor vehicles	Total
	£	£	£	£	£
Cost					
At 1 January 2020	9,658	293,411	425,955	135,992	865,016
Additions	-	275,673	339,768	-	615,441
	<u> </u>	<u> </u>	<u> </u>	<u> </u>	<u> </u>
At 31 December 2020	9,658	569,084	765,723	135,992	1,480,457
	<u> </u>	<u> </u>	<u> </u>	<u> </u>	<u> </u>
Depreciation					
At 1 January 2020	9,031	213,409	199,821	101,910	524,171
Charge for the year	-	76,702	148,145	25,869	250,716
	<u> </u>	<u> </u>	<u> </u>	<u> </u>	<u> </u>
At 31 December 2020	9,031	290,111	347,966	127,779	774,887
	<u> </u>	<u> </u>	<u> </u>	<u> </u>	<u> </u>
Carrying amount					
At 31 December 2020	627	278,973	417,757	8,213	705,570
	<u> </u>	<u> </u>	<u> </u>	<u> </u>	<u> </u>
At 31 December 2019	627	80,002	226,134	34,082	340,845
	<u> </u>	<u> </u>	<u> </u>	<u> </u>	<u> </u>

Notes to the financial statements (continued)
Year ended 31 December 2020

7. Debtors

	2020	2019
	£	£
Trade debtors	175,903	224,944
Other debtors	16,153	25,719
	192,056	250,663

Notes to the financial statements (continued)
Year ended 31 December 2020

8. Creditors: amounts falling due within one year

	2020	2019
	£	£
Bank loans and overdrafts	20,229	-
Trade creditors	208,466	114,906
Social security and other taxes	3,471	971
Other creditors	28,995	18,067
	261,161	133,944

9. Creditors: amounts falling due after more than one year

	2020	2019
	£	£
Bank loans and overdrafts	2,821	2,821
Other creditors	163,502	-
	166,323	2,821

10. Directors advances, credits and guarantees

██████████ Ltd

The following pages do not form part of the statutory accounts.

██████████ Ltd

**Detailed income statement
Year ended 31 December 2020**

	2020 £	2019 £
Turnover		
Sales	3,357,102	2,890,290
	3,357,102	2,890,290
 Cost of sales		
Opening stock	(35,500)	(30,300)
Purchases	(1,699,684)	(1,575,848)
Direct costs	(322,468)	(278,552)
	(2,057,652)	(1,884,700)
 Closing stock	 40,200	 35,500
	(2,017,452)	(1,849,200)
 Gross profit	 1,339,650	 1,041,090
 Gross profit percentage	 39.9%	 36.0%
 Overheads		
 Administrative expenses		
Wages and salaries	(411,123)	(305,956)
Directors' remuneration	(7,800)	(7,800)
Rent payable	(25,200)	(12,450)
Rates	(1,513)	(729)
Insurance	(5,028)	(11,799)
Computer bureau costs	(2,622)	(3,815)

**Detailed income statement
Year ended 31 December 2020**

	2020	2019
	£	£
Light and heat	(101,199)	(88,186)
Cleaning	(16,055)	(8,820)
Repairs and maintenance	(38,555)	(30,308)
Printing, postage and stationery	(3,720)	(6,818)
Telephone	(2,197)	(3,677)
Hire of equipment	(4,506)	(14,503)
Motor expenses	(157,060)	(154,590)
Consultancy fees	(19,231)	(8,900)
Accountancy fees	(5,532)	(6,540)
Bank charges	(31,963)	(12,852)
Credit card charges	(458)	(336)
General expenses	(1,603)	(1,945)
Charitable donations - other	-	(500)
Depreciation of tangible assets	(250,716)	(127,629)
	(1,086,081)	(808,153)
 Other operating income		
Government grant income	69,129	-
	69,129	-
 Operating profit	 322,698	 232,937
 Operating profit percentage	 9.6%	 8.1%
 Interest payable and similar charges	 (3,960)	 (894)
Profit before taxation	318,738	232,043

██████████ Ltd

**Detailed income statement
Year ended 31 December 2020**

2020
£

2019
£